

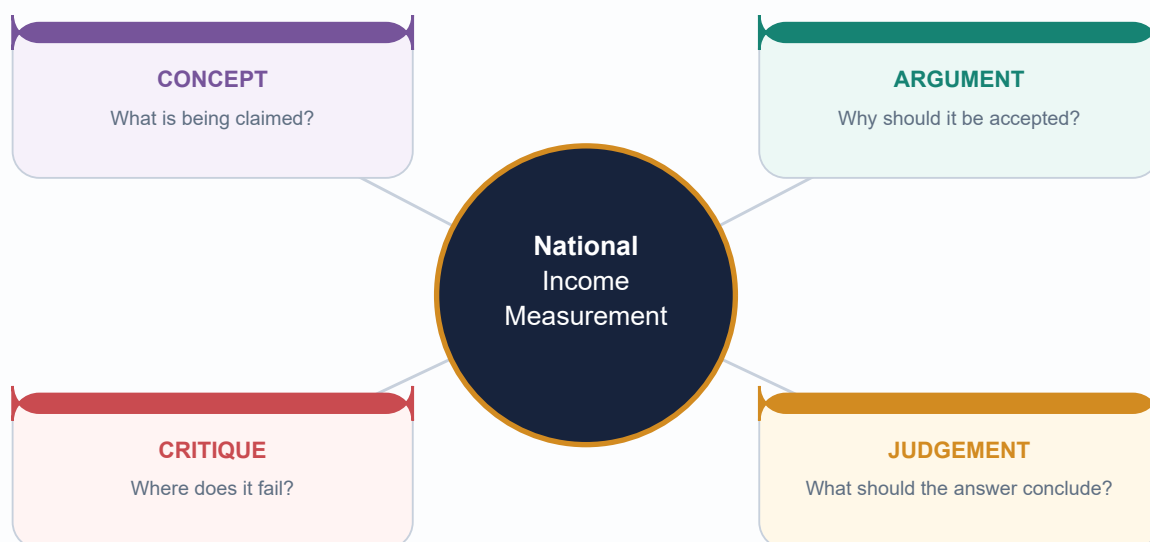
UPSC ECONOMY WORKBOOK

National Income: GDP, GVA, GNP, NDP and Measurement Solved-Practice Workbook

Subject: Economy | Paper: GS-III

Eight source-trap MCQs with strict A -> B -> C -> D rotation

Original 10-, 15- and 20-mark solved content frameworks



Facts from official sources | Inferences clearly marked | No fabricated data

HIGH UPSC RELEVANCE

HIGH

Topic-Specific MCQ Loop 1

GS-III Economy

INTRO & ORIGIN

Each question is generated from an explicit source-chapter trap and explanation.

STATIC THEORY

- Q1. Which statement correctly resolves this common misconception: "Every market transaction raises current GDP."?
- A. Resale of an old asset does not.
- B. Every market transaction raises current GDP.
- C. A pension payment directly adds to GDP.
- D. Higher nominal GDP always means more output.
- ANSWER: A - Resale of an old asset does not.
- Q2. Which statement correctly resolves this common misconception: "A pension payment directly adds to GDP."?
- A. A pension payment directly adds to GDP.
- B. It is a transfer payment.
- C. Higher nominal GDP always means more output.
- D. GDP measures national welfare.
- ANSWER: B - It is a transfer payment.
- Q3. Which statement correctly resolves this common misconception: "Higher nominal GDP always means more output."?
- A. Higher nominal GDP always means more output.
- B. GDP measures national welfare.
- C. It may reflect inflation.
- D. GNP must always exceed GDP.
- ANSWER: C - It may reflect inflation.
- Q4. Which statement correctly resolves this common misconception: "GDP measures national welfare."?
- A. GDP measures national welfare.
- B. GNP must always exceed GDP.
- C. NFIA equals all remittances.
- D. It measures production, not distribution,
- ANSWER: D - It measures production, not distribution,

MEMORY HOOK

Resolve the misconception before memorising the fact.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and
Measurement -> Source-grounded practice

HIGH**Topic-Specific MCQ Loop 2****GS-III Economy****INTRO & ORIGIN**

Each question is generated from an explicit source-chapter trap and explanation.

STATIC THEORY

- Q5. Which statement correctly resolves this common misconception: "GNP must always exceed GDP."?
- A. It depends on the sign of NFIA.
- B. GNP must always exceed GDP.
- C. NFIA equals all remittances.
- D. GVA at basic prices already includes product taxes.
- ANSWER: A - It depends on the sign of NFIA.
- Q6. Which statement correctly resolves this common misconception: "NFIA equals all remittances."?
- A. NFIA equals all remittances.
- B. Personal transfers and primary income differ.
- C. GVA at basic prices already includes product taxes.
- D. GDP deflator includes imported production.
- ANSWER: B - Personal transfers and primary income differ.
- Q7. Which statement correctly resolves this common misconception: "GVA at basic prices already includes product taxes."?
- A. GVA at basic prices already includes product taxes.
- B. GDP deflator includes imported production.
- C. Product taxes are
- D. Every market transaction raises current GDP.
- ANSWER: C - Product taxes are
- Q8. Which statement correctly resolves this common misconception: "GDP deflator includes imported production."?
- A. GDP deflator includes imported production.
- B. Every market transaction raises current GDP.
- C. A pension payment directly adds to GDP.
- D. It covers domestic output.
- ANSWER: D - It covers domestic output.

MEMORY HOOK

Resolve the misconception before memorising the fact.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement -> Source-grounded practice

HIGH**Solved 10-Mark Practice****GS-III** Economy**INTRO & ORIGIN**

Explain National Income: GDP, GVA, GNP, NDP and Measurement with reference to its concepts, applications and limitations.

ANSWER ARCHITECTURE**1. Concept**

Define the exact scope and terminology.

V

2. Core analysis

Organise the source content into two or three dimensions.

V

3. Evidence

Use the chapter's India-centric examples or chronology.

V

4. Critical layer

Add traps, limitations, counter-view or implementation constraints.

V

5. Judgement

Conclude in direct response to the directive.

STATIC THEORY

- □ GVA shows the contribution of producers and sectors.
- □ GDP at market prices shows the value paid by final purchasers.
- □ GDP and GVA growth can differ when net product taxes change sharply.
- □ Final goods and services produced during the accounting period.
- □ Imputed values used under national-accounting rules, where applicable.
- □ Government services valued mainly through production costs.
- □ Intermediate goods when their value is already embedded in final output.
- □ Pure transfer payments because no current good/service is produced in return.
- □ Sale of an existing asset; only current brokerage or service value is added.
- □ Unpaid household work that lies outside the conventional production boundary.
- □ Gross measures include depreciation; net measures deduct it.
- □ GDP can exceed GNP when NFIA is negative.
- □ GDP is territorial; GNP is resident-income based.
- □ Real GDP removes price effects; nominal GDP does not.
- □ GVA is not GDP: net product taxes connect the two.

MAINS ANGLE

These are model content points; arrange them into paragraphs rather than reproducing a list.

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement -> 10-mark answer

HIGH**Solved 15-Mark Practice****GS-III Economy****INTRO & ORIGIN**

Analyse National Income: GDP, GVA, GNP, NDP and Measurement with reference to its concepts, applications and limitations.

ANSWER ARCHITECTURE**1. Concept**

Define the exact scope and terminology.

V

2. Core analysis

Organise the source content into two or three dimensions.

V

3. Evidence

Use the chapter's India-centric examples or chronology.

V

4. Critical layer

Add traps, limitations, counter-view or implementation constraints.

V

5. Judgement

Conclude in direct response to the directive.

STATIC THEORY

- ☐ GVA shows the contribution of producers and sectors.
- ☐ GDP at market prices shows the value paid by final purchasers.
- ☐ GDP and GVA growth can differ when net product taxes change sharply.
- ☐ Final goods and services produced during the accounting period.
- ☐ Imputed values used under national-accounting rules, where applicable.
- ☐ Government services valued mainly through production costs.
- ☐ Intermediate goods when their value is already embedded in final output.
- ☐ Pure transfer payments because no current good/service is produced in return.
- ☐ Sale of an existing asset; only current brokerage or service value is added.
- ☐ Unpaid household work that lies outside the conventional production boundary.
- ☐ Gross measures include depreciation; net measures deduct it.
- ☐ GDP can exceed GNP when NFIA is negative.
- ☐ GDP is territorial; GNP is resident-income based.
- ☐ Real GDP removes price effects; nominal GDP does not.
- ☐ GVA is not GDP: net product taxes connect the two.

MAINS ANGLE

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STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement -> 15-mark answer

HIGH

Solved 20-Mark Practice

GS-III Economy

INTRO & ORIGIN

Critically examine National Income: GDP, GVA, GNP, NDP and Measurement with reference to its concepts, applications and limitations.

ANSWER ARCHITECTURE

1. Concept

Define the exact scope and terminology.

V

2. Core analysis

Organise the source content into two or three dimensions.

V

3. Evidence

Use the chapter's India-centric examples or chronology.

V

4. Critical layer

Add traps, limitations, counter-view or implementation constraints.

V

5. Judgement

Conclude in direct response to the directive.

STATIC THEORY

- ☐ GVA shows the contribution of producers and sectors.
- ☐ GDP at market prices shows the value paid by final purchasers.
- ☐ GDP and GVA growth can differ when net product taxes change sharply.
- ☐ Final goods and services produced during the accounting period.
- ☐ Imputed values used under national-accounting rules, where applicable.
- ☐ Government services valued mainly through production costs.
- ☐ Intermediate goods when their value is already embedded in final output.
- ☐ Pure transfer payments because no current good/service is produced in return.
- ☐ Sale of an existing asset; only current brokerage or service value is added.
- ☐ Unpaid household work that lies outside the conventional production boundary.
- ☐ Gross measures include depreciation; net measures deduct it.
- ☐ GDP can exceed GNP when NFIA is negative.
- ☐ GDP is territorial; GNP is resident-income based.
- ☐ Real GDP removes price effects; nominal GDP does not.
- ☐ GVA is not GDP: net product taxes connect the two.

MAINS ANGLE

These are model content points; arrange them into paragraphs rather than reproducing a list.

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement -> 20-mark answer

HIGH**Workbook Rapid Revision****GS-III Economy****INTRO & ORIGIN**

Final revision is placed after teaching and solved practice.

TOPIC RECALL MAP

National Income: GDP, GVA, GNP, NDP and Measurement

V

Definition ☐ GVA shows the contribution of producers and sectors.	Mechanism ☐ GDP at market prices shows the value paid by final purchasers.
Application ☐ ☐ GDP and GVA growth can differ when net product taxes change sharply.	Evaluation ☐ Final goods and services produced during the accounting period.

STATIC THEORY

- ☐ GVA shows the contribution of producers and sectors.
- ☐ GDP at market prices shows the value paid by final purchasers.
- ☐ ☐ GDP and GVA growth can differ when net product taxes change sharply.
- ☐ Final goods and services produced during the accounting period.
- ☐ Imputed values used under national-accounting rules, where applicable.
- ☐ Government services valued mainly through production costs.
- ☐ Intermediate goods when their value is already embedded in final output.
- ☐ Pure transfer payments because no current good/service is produced in return.
- ☐ Sale of an existing asset; only current brokerage or service value is added.
- ☐ Unpaid household work that lies outside the conventional production boundary.
- ☐ Gross measures include depreciation; net measures deduct it.
- ☐ GDP can exceed GNP when NFIA is negative.

MEMORY HOOK

Meaning -> mechanism -> evidence -> limitation -> judgement

MUST-KNOW FACTS

1. ☐ GDP is territorial; GNP is resident-income based.
2. ☐ Real GDP removes price effects; nominal GDP does not.
3. ☐ GVA is not GDP: net product taxes connect the two.
4. ☐ Imports are subtracted because consumption/investment totals may include
5. ☐ MoSPI released a **new GDP series with base year 2022-23**, replacing 2011-12,
6. ☐ The release provides annual and quarterly estimates from 2022-23; the

UPSC TRAPS

- WRONG:** Every market transaction raises current GDP.
CORRECT: Resale of an old asset does not.
- WRONG:** A pension payment directly adds to GDP.
CORRECT: It is a transfer payment.
- WRONG:** Higher nominal GDP always means more output.
CORRECT: It may reflect inflation.
- WRONG:** GDP measures national welfare.
CORRECT: It measures production, not distribution,

MAINS ANGLE

Use National Income: GDP, GVA, GNP, NDP and Measurement as an argument, not as an unstructured list of facts.

STUDY LINK

Economy -> National Income: GDP, GVA, GNP, NDP and Measurement

End of Register Notes - UPSC Agent / Copilot CLI